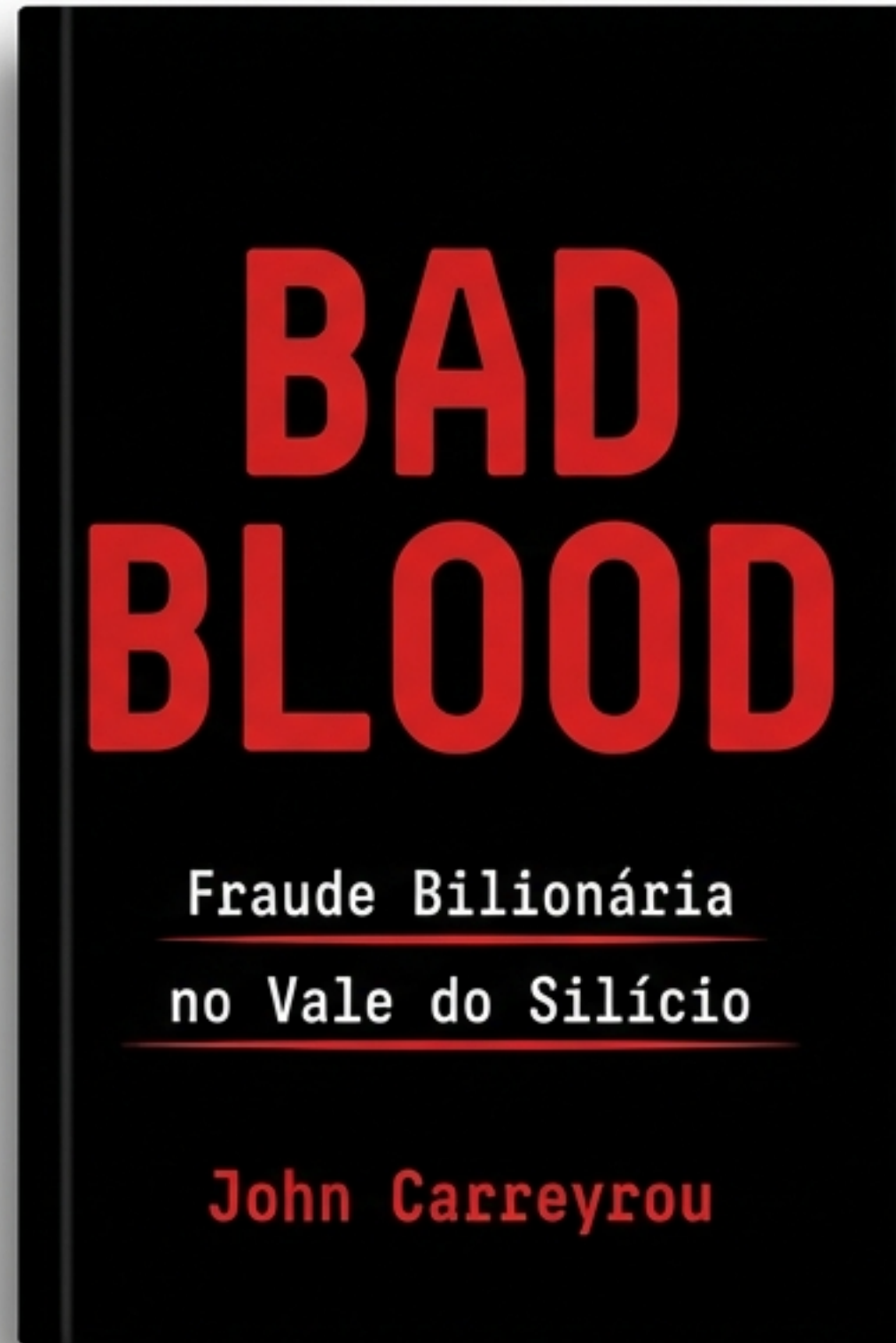




The Architecture of an Illusion

A forensic deconstruction of the Theranos fraud based on the investigative work of John Carreyrou.

The promise was to revolutionize healthcare with a single drop of blood. The reality was a multi-billion dollar house of cards built on fear, lies, and a glue-dispensing robot.

The Visionary: A Curated Persona

THE PUBLIC IMAGE



The Pitch: "The iPod of Healthcare." A decentralized system putting health records in patient hands.

THE PRIVATE REALITY

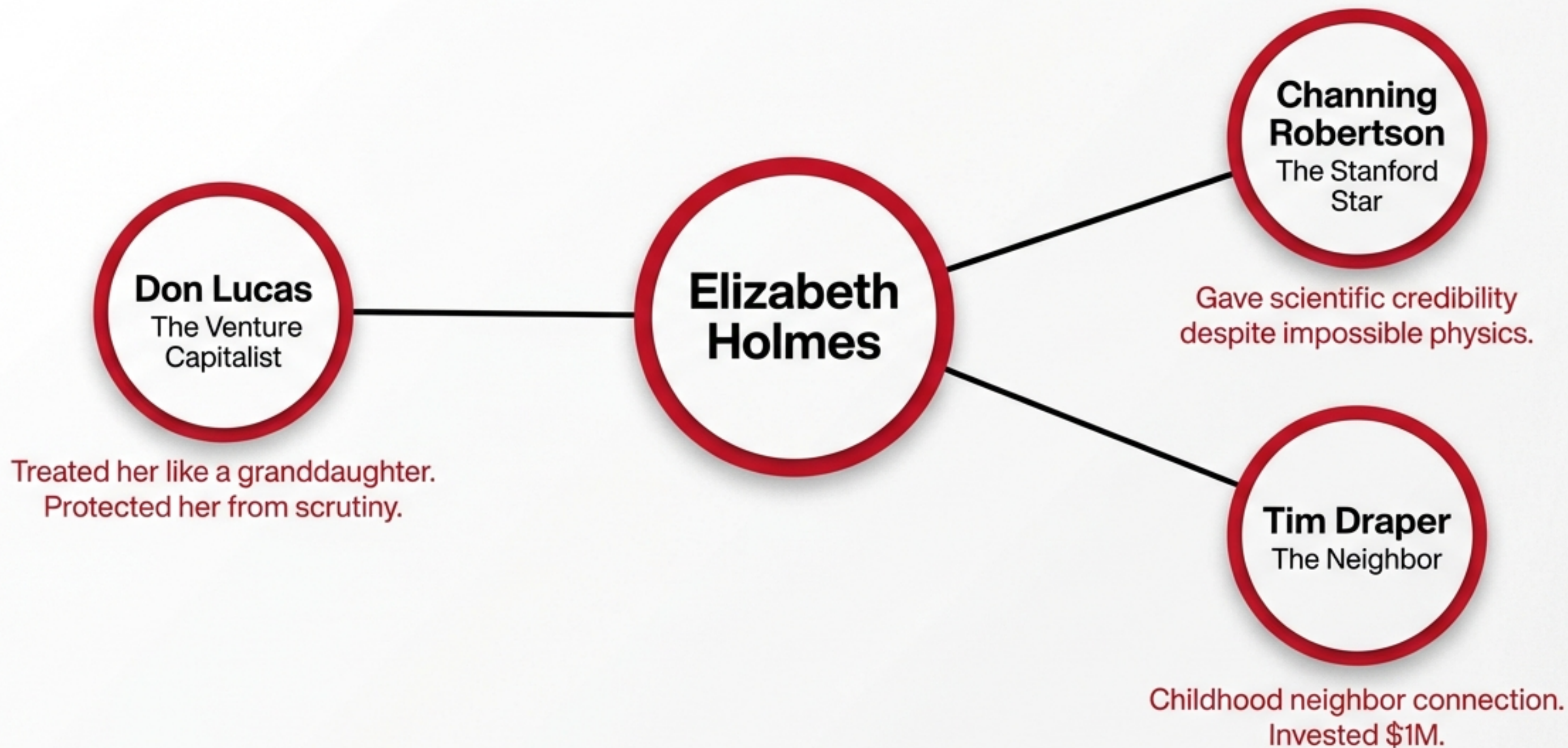
Origin Story: At age 9, she didn't want to be president. She said: "I want to be a billionaire."

The Motivation: "I don't have an interest in getting a PhD, I want to make money." (Quote to father, 2002)

The Legacy: Driven by the Fleischmann family history to restore lost wealth.

Funding Secured by Connection, Not Diligence

The board was stacked with powerful men susceptible to charm, lacking medical expertise.



The Laws of Physics vs. The Microfluidic Dream

The Dream (Theranos 1.0)



Run hundreds of tests on microliters of blood.

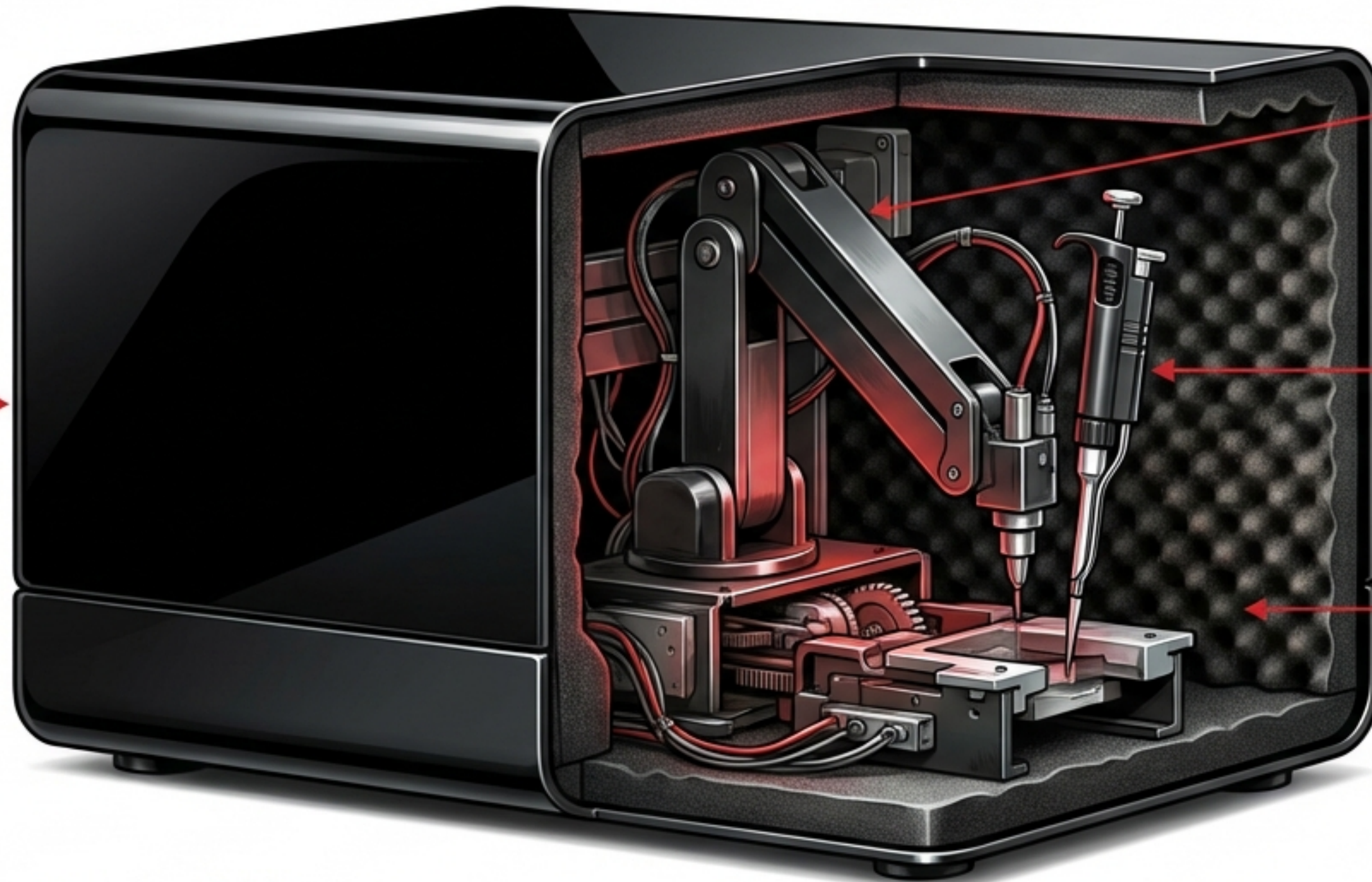
The Failure



1. **Dilution:** Blood had to be diluted to move, killing test sensitivity.
2. **Interference:** "The Gluebot Paradox." Chemical reactions in tiny channels caused cross-contamination.
3. **Verdict:** The microfluidic approach was silently abandoned.

The Pivot: The 'Edison'

Designed by
Yves Béhar



Fisnar Glue Robot Arm
(\$3,000 off-the-shelf component)

Pipette
(Mimicking a human hand)

Sound-dampening foam
(To hide the noise)

The 'Edison' was not a microfluidic breakthrough. It was a hacked-together commercial glue robot inside a designer box.

The Deception: The Novartis Demo (2006)



Switzerland

Device malfunctions.
Investors told results
are real-time.

BEAMED FAKE DATA.



California

Tim Kemp transmits
pre-recorded fake
results.

The First Casualty: CFO Henry Mosley.

“Henry, you’re not a team player.” — Elizabeth Holmes, upon firing him for asking if they were fooling investors. ”

Sunny Balwani and The Culture of Fear

The Persona:

President/COO.

Hidden relationship with Elizabeth.

“I have enough money to take care of my family for seven generations. I don’t need to be here.”

The Enforcer:

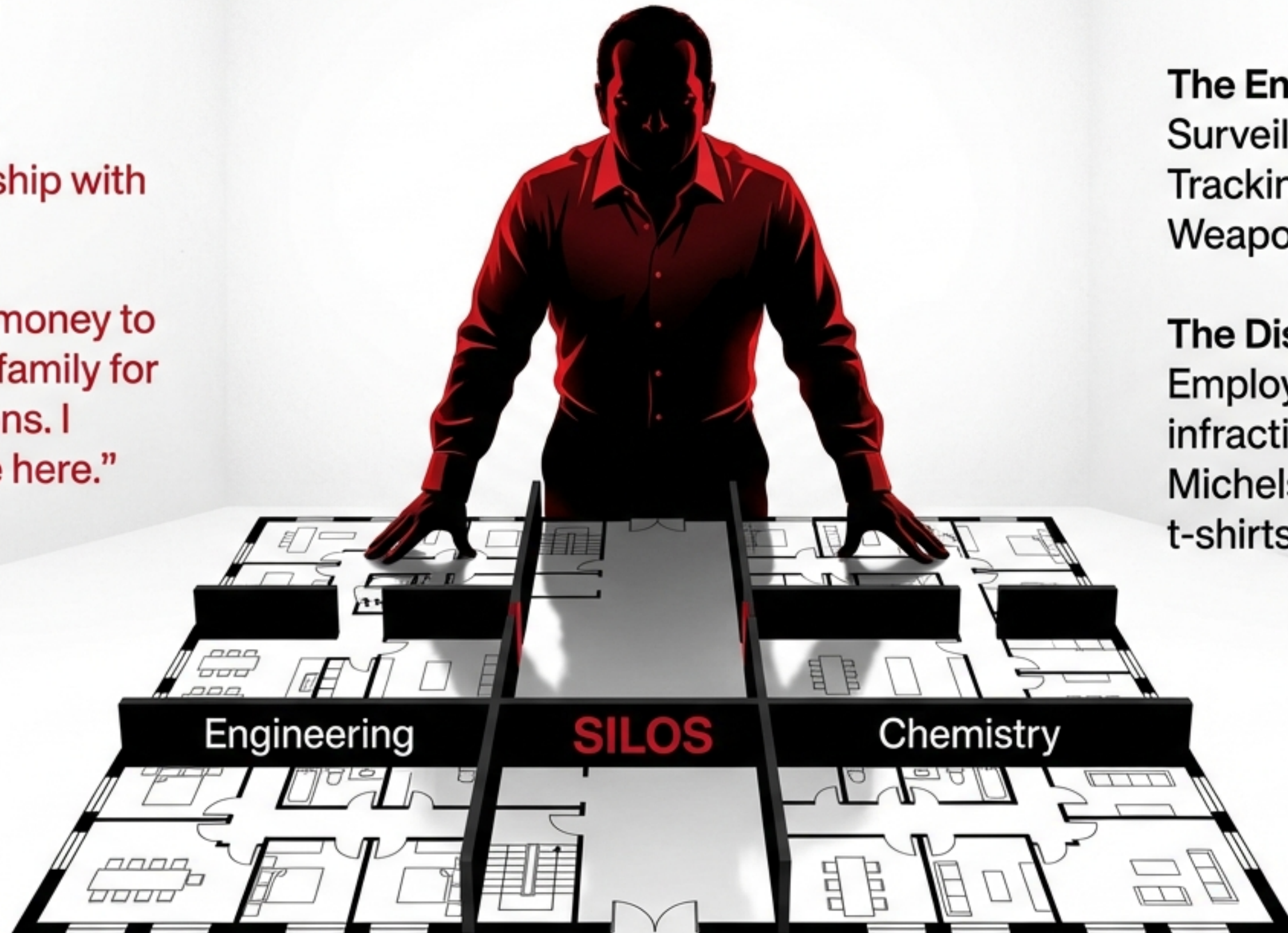
Surveillance of IT.

Tracking hours.

Weaponization of NDAs.

The Disappearances:

Employees fired for minor infractions (e.g., Seth Michelson for buying t-shirts).



The Exodus of Ethics and Expertise

As experts realized the fraud, they were forced out.

Ana Arriola & The Apple Team

Hired for the “Jobs” aesthetic. Resigned upon discovering the device was used on real cancer patients.

Justin Maxwell

Exit Quote: “Lying is a disgusting habit, and it flows through the conversations here like it’s our own currency.”

Ed Ku (Engineering)

Fired for refusing to make his team work 24/7 on a physics problem that couldn’t be solved.

The Pfizer Validation Study (Tennessee)

Subject: Terminal Cancer Patients.

Method: Monitoring drug reactions.

Status: **FAILURE.**

The Reality: Devices overheated and failed to transmit data.

The Excuses: The official report blamed “dense foliage,” “metal roofs,” and “heavy air conditioning” for data failures.

Outcome: Data discarded. Elizabeth spun it as a success to the board.

The Walgreens Deal: Blinded by FOMO

WALGREENS

- **The Motivator:** Fear Of Missing Out. Theranos played Walgreens against CVS: “If you don’t sign, we go to your competitor.”
- **The Believer:** Dr. Jay Rosan (VP of Health Innovation).
Quote: “Imagine catching breast cancer before a mammogram.”
- **Result:** Deal signed without independent lab verification.

The Red Flags Ignored by Walgreens

Observations by Kevin Hunter, Lab Consultant.



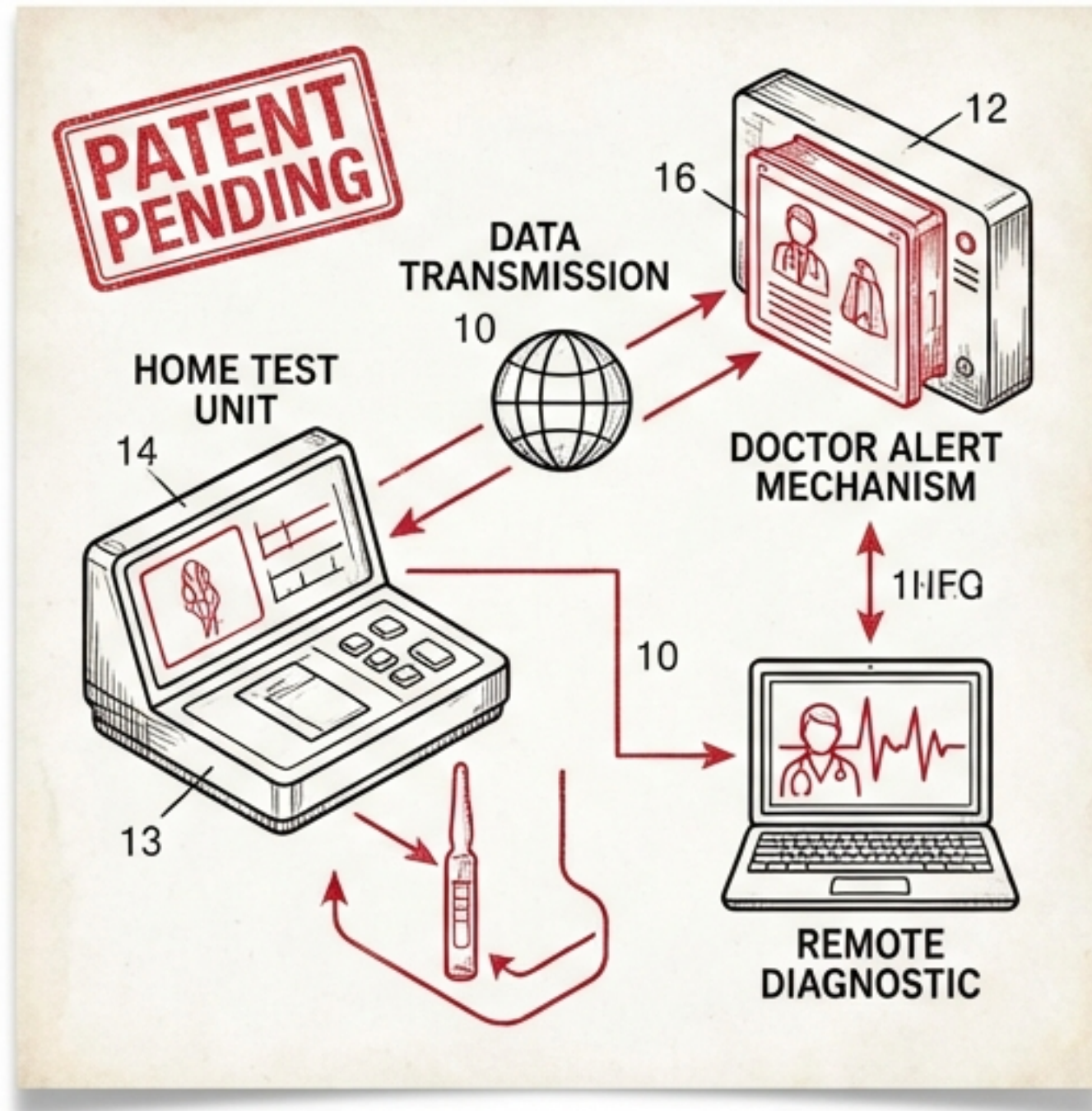
Lab Access Denied: “We can’t show you the lab.”

Bathroom Escorts: Sunny Balwani waited outside restrooms to prevent wandering.

The Sushi Dinner: Hiding in a back room to avoid “spies” while Sunny’s Lamborghini was parked out front.

The Test Kits: Received “Susceptibility to Flu” kits that were already expired.

The Neighbor War: The “Theranos Killer” Patent



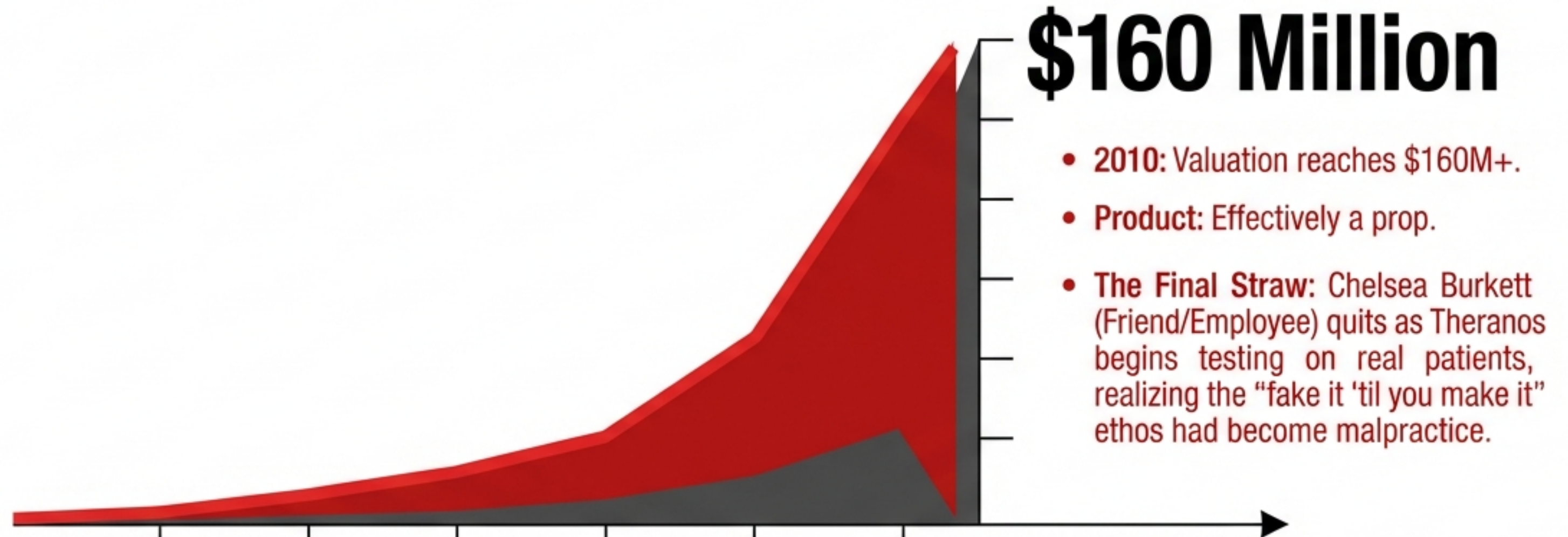
- **The Antagonist:** Richard Fuisz (Former Neighbor & Inventor).
- **The Oversight:** Theranos missed a key patent—the mechanism to alert a doctor if a home test is abnormal.
- **The Move:** Fuisz filed the patent specifically to leverage it against Theranos.
- **The Reaction:** Elizabeth sued, alleging a grand conspiracy involving Fuisz’s son and stolen documents.

Shooting at the King: The Boardroom Coup (2008)



- **The Crisis:** Revenue projections were fictional. Technology didn't work.
- **The Decision:** The Board voted to remove Elizabeth as CEO.
- **The Turn:** Over a 2-hour meeting, Elizabeth talked her way back in, promising transparency.
- **The Lesson:** "If you shoot at the king, you must kill him." Elizabeth immediately fired the whistleblowers (Todd Surdey and Michael Esquivel).

Crossing the Rubicon: Testing on the Public



BAD BLOOD

Fraude Bilionária
no Vale do Silício

John Carreyrou